

Y

110 |

YOU ONLY LIVE ONCE. Aka YOLO. In 2012, this new 'word' was shortlisted by Oxford American Dictionary in its English Word of the Year list, after it became part of millennial lingo following Canadian rapper Drake's track *The Motto*. Even as millennials swing and 'live' by YOLO, another community has taken a particular liking to the word—global luxury car-makers such as Mercedes-Benz, Audi, Lexus, Lamborghini and others. The word has become synonymous with their engagement strategy for a whole new set of shoppers—the millennials and the GenZ. Even India, which is considered to have a predominantly savings-based mindset, has taken to YOLO with gusto, which experts argue has only risen post the Covid-19 pandemic. Net effect: the market for super luxury cars (above ₹2.5 crore) in India is set to more than double this calendar year to 600-650 vehicles.

"There has been a definite mindset change in India where traditionally one-third money was kept aside as savings. The YOLO effect is at play here. They want to save for a rainy day but they don't want to save for the next generation," says Naveen Soni, President of Lexus India, adding that people are now buying luxury cars as their first car because their social and financial needs are met by the previous generation. The luxury vehicle division of the Japanese automaker Toyota said that by July 2022, it had crossed the sales of the whole of last year. That, Soni says, is credited to the growing number of ultra high net-worth individuals (UHNIs) in the country, which grew 11 per cent in 2021 to 13,637 from the year earlier, the fastest pace in the Asia-Pacific region, according



The Porsche Taycan Turbo S; prices start at ₹2.34 crore in India

to Knight Frank data. The number is expected to rise 39 per cent between 2021 and 2026.

According to Martin Schwenk, Managing Director and CEO of Mercedes-Benz India, with every new car, the average age of customers is decreasing, right from the entry-level A-Class to the top-end S-Class. "The S-Class's average customer age is now 38 years compared to 50 even a few years ago. This trend is emerging in metros as well as in Tier II markets. Our young upwardly mobile customers are increasingly consuming luxury products, and a Mercedes-Benz suits their lifestyle and personality. Successful enterprises, a buoyant stock market, a positive business environment, combined with an aspirational lifestyle have been driving luxury car growth in India," he says. India's largest luxury carmaker retailed a record 7,573 units in the January-June 2022 period, growing by 56 per cent YoY as compared to 4,857 units a year ago.